

Tencent Holdings Ltd 00700 ★★★★★

1 Jun 2026 21:53, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
436.00 HKD	800.00 HKD	0.55	4.35 HKD Tril	Wide	Large Blend	High	Exemplary
1 Jun 2026	14 Aug 2025 07:20, UTC		2 Jun 2026				

Sector	Industry
Communication Services	Internet Content & Information

Business Description

Tencent is the world's largest game publisher, with top-grossing mobile hits like Honor of Kings and Peacekeeper Elite and a steady pipeline of new titles. It also operates WeChat-China's super-app with roughly 1.3 billion users-embedded in daily life for messaging, short video, mini programs, payments, and shopping. Beyond its own platforms, Tencent is a prolific strategic investor, holding stakes in leading internet companies such as PDD, Kuaishou, and Xiaohongshu.

- ▶ At HKD 482 following today's rally, shares trade at 15 times headline P/E for 2026 and 13 times excluding the value of investment holdings, well below both historical averages and what double-digit earnings growth would justify.
- ▶ The market appears to be pricing in AI-related costs without fully recognizing potential return pathways. We see three: subscription fees for premium agent tiers, advertising embedded with agent-generated responses, and higher payment take rates as agent-driven transactions flow through WeChat Pay.

Business Strategy & Outlook Ivan Su, Senior Equity Analyst, 18 Dec 2025

Over the past decade, Tencent has ridden the mobile gaming boom with hits like Honor of Kings and Peacekeeper Elite. Gaming remains its primary monetization engine, contributing an estimated 60% of operating income. With deep insight into gamer behavior and substantial financial resources, Tencent is well-positioned to keep developing high-quality, durable franchises.

At the same time, Tencent has built a broad ecosystem across advertising, payments, cloud, music streaming, and more. The largest untapped lever sits inside WeChat. As China's dominant super-app, WeChat is a uniquely powerful marketing channel, and we expect its monetization to rise steadily—primarily via advertising.

The drivers are straightforward: higher user engagement across Tencent's properties expands ad inventory; thoughtful increases in ad load lift yield; and AI-enhanced targeting, powered by WeChat's data, improves conversion and pricing. Together, these factors support a gradual, durable ramp in WeChat-led ad revenue.

AI represents a meaningful new growth lever for Tencent. Despite AI chip export restrictions, Tencent's differentiated approach—allocating GPUs to internal use rather than selling compute like other hyperscalers—allows it to convert AI directly into product and efficiency gains. Because Tencent owns the use cases, it can deploy models where they drive immediate impact. Early results are visible on the advertising side, and the strategy offers greater long-term visibility.

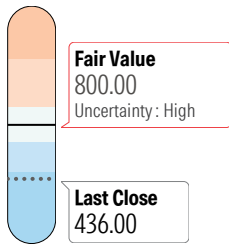
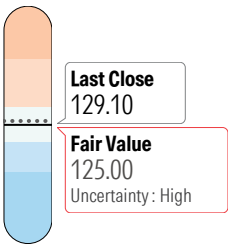
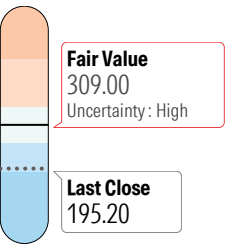
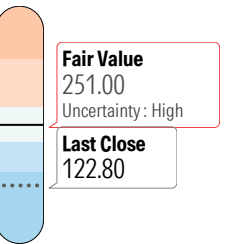
While games and advertising will remain Tencent's core revenue drivers, its leading position in financial technology, cloud, and enterprise software offers long-term value creation potential. Given China's economic scale and widespread digital adoption, Tencent is poised to benefit from these opportunities by transforming its services into substantial revenue streams.

Lastly, Tencent was historically active in external investments, but in recent years has shifted toward buybacks and internal reinvestment. Looking ahead, the low-hanging fruit in external deals is largely gone; we expect a more selective approach and, consequently, fewer opportunities for outsize returns from strategic investments.

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Competitors

	Tencent Holdings Ltd 00700	Baidu Inc 09888	NetEase Inc Ordinary Shares 09999	Alibaba Group ...rdinary Shares 09988
	 Fair Value 800.00 Uncertainty: High Last Close 436.00	 Last Close 129.10 Fair Value 125.00 Uncertainty: High	 Fair Value 309.00 Uncertainty: High Last Close 195.20	 Fair Value 251.00 Uncertainty: High Last Close 122.80
Economic Moat	Wide	None	Narrow	Wide
Currency	HKD	HKD	HKD	HKD
Fair Value	800.00 1 Jun 2026 16:53, UTC	125.00 1 Jun 2026 16:56, UTC	309.00 1 Jun 2026 16:55, UTC	251.00 1 Jun 2026 16:51, UTC
1-Star Price	1,240.00	193.75	478.95	389.05
5-Star Price	480.00	75.00	185.40	150.60
Assessment	Undervalued 2 Jun 2026	Fairly Valued 2 Jun 2026	Undervalued 2 Jun 2026	Undervalued 2 Jun 2026
Morningstar Rating	★★★★★ 1 Jun 2026 05:00, UTC	★★★ 1 Jun 2026 05:00, UTC	★★★★★ 1 Jun 2026 05:00, UTC	★★★★★ 1 Jun 2026 05:00, UTC
Analyst	Ivan Su, Senior Equity Analyst	Chelsey Tam, Senior Equity Analyst	Ivan Su, Senior Equity Analyst	Chelsey Tam, Senior Equity Analyst
Capital Allocation	Exemplary	Standard	Standard	Standard
Price/Fair Value	0.55	1.03	0.63	0.49
Price/Sales	4.94	2.51	5.01	2.10
Price/Book	3.06	1.15	3.34	1.90
Price/Earning	16.65	—	16.79	20.32
Dividend Yield	1.22%	0.00%	2.38%	0.84%
Market Cap	3,936.19 Bil	351.41 Bil	625.34 Bil	2,356.91 Bil
52-Week Range	420.40—683.00	79.35—157.80	168.80—248.00	101.80—186.20
Investment Style	Large Blend	Large Value	Large Blend	Large Value

Bulls Say Ivan Su, Senior Equity Analyst, 23 Dec 2025

- Several Tencent products remain early in their monetization cycles, offering meaningful long-term growth optionality.
- Tencent's deep integration into everyday life in China enables rapid testing and optimization of new product strategies, unlocking additional growth avenues.
- AI could be a game-changer for Tencent's gaming business. Online games require constant updates that AI can produce faster and at lower cost, improving both cadence and efficiency.

Bears Say Ivan Su, Senior Equity Analyst, 23 Dec 2025

- Chinese regulators have become more assertive. There is always the possibility that the government may want more control over Tencent's internet businesses by curbing monetization, limiting collection

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of user data, or restricting acquisitions.

- Tencent found success by riding the wave of mobile internet, but this is no guarantee that it can stay at the forefront of next-generation technologies.
- The potential reentry of highly competitive foreign internet service providers into China remains a possibility and could pressure Tencent's earnings growth.

Economic Moat Ivan Su, Senior Equity Analyst, 23 Dec 2025

Tencent's wide moat is primarily based on network effects around its massive user base. In addition, Tencent possesses secondary moat sources like intangible assets, cost advantage, and switching costs. Given Tencent's proven ability to monetize its massive network of users through games, advertising, fintech, and other venues, we think it is more likely than not that the business will generate excess returns on invested capital over the next 20 years.

Tencent owns China's dominant messaging app, WeChat. Unlike messaging apps in other parts of the world, WeChat is a platform for daily life and work. Through in-app features, users can play games, read news, perform searches, watch videos, listen to music, and shop. It's essentially Facebook, WhatsApp, Netflix, Spotify, and PayPal combined into a single mobile application. This multifunctionality has made WeChat the most widely used app in China, with virtually the entire Chinese population as its active users. WeChat's network effect strengthens with increased usage frequency, creating substantial barriers to entry for new social networks and barriers to exit for existing users who would leave behind friends, business contacts, chat history, payment records, and more by switching platforms. Even in the unlikely event of significant competitive entry, WeChat's integral role in China's social fabric provides a formidable defense.

Beyond network effects, Tencent benefits from intangible assets, including extensive user behavior data and IP ownership, as well as switching costs associated with business processes often centered around WeChat.

By segment, online games warrant a wide moat due to network effects and intangible assets related to its evergreen IPs. Tencent operates some of the world's highest-grossing game franchises, including Honor of Kings, PUBG, Clash of Clans, League of Legends, and Dungeon Fighter Online. Most of these games have been popular for over a decade and the enduring appeal of these franchises has cultivated a passionate fan base eagerly awaiting new content. This devoted following not only reduces the need for extensive marketing campaigns but also acts as a powerful revenue engine.

Tencent has maintained market leadership in gaming for years. Leading titles like Honor of Kings and Peacekeeper Elite consistently rank top in revenue, driven by high daily active user counts and recurring microtransaction revenue. A key advantage of these high-DAU games is quick matchmaking

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times, which enhances user satisfaction and encourages frequent play. Large player bases also foster richer gaming experiences, balanced matches, diverse gameplay, thriving communities, and robust esports scenes. Competitors struggle to replicate Tencent's success in genres like multiplayer online battle arena and battle royale, even with substantial investment. The sheer scale of these games' player bases creates a powerful network effect.

The social aspect of gaming further strengthens Tencent's network effect. Logging into games with WeChat accounts simplifies playing with friends. Players can instantly see which friends are playing the same game, fostering social interaction, and increasing the likelihood of both time and money spent in-game.

Tencent's social networking segment—primarily comprising Tencent Music, Tencent Video, app store fees, and other internet services—merits a narrow moat rating. While limited disclosures hinder individual product moat assessments, the segment as a whole benefits from its connection to WeChat's vast user base. For example, Tencent Music offers a more seamless experience within WeChat, simplifying music sharing and playback between friends. These conveniences support market leadership and premium pricing.

Tencent's advertising segment, primarily consisting of ad placements within WeChat, benefits from a wide moat based on ad inventory growth fueled by user engagement stemming from network effects and the intangible asset from its possession of user data. WeChat's network effect drives high usage, translating directly into increased ad inventory for Tencent. Furthermore, Tencent leverages user data to power its advertising engine, enabling targeted advertising across its platforms. We view Tencent's collection and possession of this high-quality data as an intangible asset that provides the firm with a competitive advantage over other internet companies. Tencent's ad-targeting and content-recommendation algorithms improve with increased user data, creating another form of network effect and enhancing ad relevance. Despite intensifying competition from short video platforms in China's online advertising market, Tencent's Video Accounts offering is gaining traction and contributing to market share growth. According to eMarketer, Tencent currently holds the third position in China's digital ad market with an 8% share.

The fintech and business services segment, primarily comprising fintech revenue (payments, loans, wealth management) and cloud/enterprise software revenue, also boasts a wide moat. WeChat Pay, China's largest mobile payment service, benefits from a strong network effect. The more consumers and merchants participate, the more valuable the network becomes. This dynamic explains the enduring market dominance of WeChat Pay and Alipay.

While Tencent is a leading cloud provider in China. Tencent Cloud serves mainly enterprise clients, fostering high switching costs due to the integration of its software into mission-critical workflows. The

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operational risks associated with replacing such systems create barriers to switching.

In recent years, Tencent has increasingly shifted its focus toward software as a service, or SaaS. This strategic pivot is supported by the network effect of WeChat, which plays a crucial role in Tencent's enterprise software ecosystem. The integration of Tencent's enterprise solutions with WeChat simplifies user access, eliminating separate registration processes for tools like Tencent Docs and Tencent Meeting. Easy sharing of meeting invitations and documents further enhances seamless collaboration, improving the user experience of hundreds of millions of users.

Fair Value and Profit Drivers Ivan Su, Senior Equity Analyst, 23 Dec 2025

Our fair value estimate for Tencent is HKD 800 per share. About 85% of our valuation comes from Tencent's core business, while the remaining 20% comes from its investments. Our valuation for the core business implies a 2025 P/E of 30 times. We discount the firm's free cash flows using a WACC of 8.3%. We expect the company to record a five-year revenue CAGR of 10%. We project a 14% five-year EPS CAGR for Tencent, driven by expanding margins.

Tencent is a business with multiple growth drivers. We expect revenue from value-added services to increase at a five-year CAGR of 8% primarily due to new game launches and content updates to existing games. We expect revenue generated from advertising to increase at a five-year CAGR of 14%, driven by increases in ad inventory, a shift of marketing budgets to online and social media, and more efficient ad targeting. Lastly, we forecast revenue from fintech and cloud to increase at a five-year CAGR of 10%, driven by increasing economic activities, business expansion in loan and wealth-management products, and rising demand for cloud services.

We forecast Tencent's operating margin, excluding interest and other gains, to go up to 43% by 2029 from around 36% in 2024. Key drivers include reduced app store revenue sharing, a shift toward higher-margin Video Account advertising, increased enterprise software monetization, and operating leverage.

Risk and Uncertainty Ivan Su, Senior Equity Analyst, 18 Dec 2025

Our Morningstar Uncertainty Rating for Tencent is High due to regulatory risks and competitive intensity across its core businesses.

In payments, the 2017 rule that forced third-party providers to park customer reserves in non-interest-bearing central bank accounts—and the later concession to just 0.35% interest—demonstrates how policy can materially alter unit economics.

Gaming regulation is similarly unpredictable: license approval suspensions in 2018 and 2021 disrupted release schedules and forced resource reallocation, while the December 2023 draft rules aimed at curbing video-game spending, subsequently withdrawn, underscored the sector's policy overhang and

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lack of long-term clarity.

Like many other listed Chinese internet firms, Tencent adopts the variable interest entity structure, which is specifically designed to bypass Chinese legal restrictions on foreign ownership in sectors like internet. Tencent's investors hold shares of the firm's VIEs domiciled in the Cayman Islands. We don't expect repudiation of VIEs by the Chinese government, but if VIEs are found to violate laws, authorities could take action against the VIEs.

Looking ahead, WeChat's super-app status and data-collection practices, potential requirements to open its walled garden to external indexing and interoperability, and payments concentration that could invite antitrust remedies for WeChat Pay, are all plausible areas for scrutiny.

Beyond regulation, competition from platforms like ByteDance pressures user time and ad budgets, and a weak macroeconomic backdrop with fragile consumer sentiment can weigh on advertising and discretionary spending.

Capital Allocation Ivan Su, Senior Equity Analyst, 23 Dec 2025

We assign Tencent an Exemplary Morningstar Capital Allocation Rating, reflecting our assessment of its sound balance sheet, exceptional investments, and appropriate shareholder distributions. We expect reinvestments into the business, prioritized over shareholder distributions, to drive shareholder return.

Tencent's investment-focused strategy, led by a skilled management team, has delivered returns exceeding its cost of capital. Tencent is known for frequently employing a "fast-follower" strategy, where it often doesn't pioneer entirely new product categories but instead observes market trends and competitor innovations before entering the market with an improved version. Some of its key achievements include developing WeChat, a must-have app for 1.3 billion users; Honor of Kings, China's most popular game; and Tencent Music, China's leading music streaming app, among numerous others.

Tencent's astute external investments have generated substantial returns over the past decade, with notable successes including JD, Meituan, PDD, Kuaishou, and Xiaohongshu. A key advantage is Tencent's ability to drive user traffic and sales by featuring these companies' services within the WeChat ecosystem.

We view the firm's balance sheet as sound, evidenced by its strong cash position and modest debt. Tencent has generated positive free cash flow over the past decade and is expected to continue doing so in the foreseeable future. This financial strength provides ample capacity to fund acquisitions and major investments through debt if necessary.

Tencent has actively returned capital to shareholders through dividends, share repurchases, and direct distributions of investment holdings. Shareholder distributions have increased significantly since 2021, peaking in 2023 at over 180% of earnings, primarily due to the distribution of shares from its investment

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portfolio. However, with the rise of AI and an improving regulatory landscape in China, we anticipate a more balanced capital deployment strategy from Tencent. We expect the company to allocate approximately 80% of earnings to capital returns over the next few years.

Analyst Notes Archive

Tencent Earnings: The Moat Is Not the Model, but the 1.4 Billion Users on WeChat

Ivan Su,Senior Equity Analyst,14 May 2026

Tencent's key revenue lines were in line after adjusting for Lunar New Year timing effects that delayed revenue recognition. Total revenue grew by 9%, while the adjusted operating margin held at a decade-high of 38.5% despite rising investment in artificial intelligence. Why it matters: The core debate remains where Tencent fits in an AI-driven landscape without a leading AI model. Our biggest takeaway from the earnings call is that management has conceded the stand-alone AI app race and is instead reshaping the competitive arena to leverage its strengths. This includes embedding AI across owned surfaces: ad targeting (automated ad campaigns now manage 30% of spending on Tencent's platforms), content recommendations (video accounts saw 20%-plus growth in time spent), and mini programs evolving into callable tools for AI agents. As foundation models risk commoditization, the more durable advantage lies in distribution and data. Tencent controls both, anchored by its 1.4-billion-user network and proprietary data that reinforce the performance of AI applications. The bottom line: We maintain our HKD 800 fair value estimate for wide-moat Tencent. We view shares as significantly undervalued, with the market overstating the threat of ByteDance displacing Tencent in an AI-driven world. Tencent's moat is rooted in powerful network effects, and AI features layered on top should inherit this stickiness. A marginally better model won't pull users away from entrenched messaging and payment ecosystems, so long as Tencent avoids falling meaningfully behind in AI adoption, which it is not. Between the lines: On capital returns, management described the current share price as "somewhat dislocated" and signaled increased buybacks, supported by accelerating monetization of its investment portfolio alongside strong free cash flow generation. Key stats: Excluding AI-related investments, operating profit grew 17%, nearly double the reported 9% growth rate.

China's AI Firms Are Charging More, but Must Spend More Too

Chelsey Tam,Senior Equity Analyst,5 May 2026

Chinese artificial intelligence companies are pivoting from user acquisition to monetization. ByteDance's Doubao has begun testing paid subscription tiers, following AI cloud price hikes by major Chinese hyperscalers. Tencent and AI startup Zhipu also raised model API prices earlier this year. Why it matters: Industrywide price increases suggest that AI demand in China has strengthened to a level where providers can more easily pass through costs, a positive shift for economics, and alleviates concerns about prolonged price wars, a feature often seen in Chinese industries. That said, the

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investment phase is far from over. Chinese AI companies must continue upgrading models, applications, and agents to defend market share. Capital expenditure should remain elevated, particularly as memory and other component costs rise amid supply constraints. The bottom line: We maintain our fair value estimates for wide-moat Tencent at HKD 800 per share, wide-moat Alibaba at HKD 251 per share (USD 258 per ADS), and no-moat Baidu at HKD 125 per share (USD 128 per ADS). We believe Tencent and Alibaba are undervalued, as their long-term AI monetization potential is not fully reflected in current share prices. In contrast, we think the market has largely priced in this potential for Baidu, leaving its shares fairly valued. Between the lines: Even using Doubao as a benchmark, assuming a 5% paying ratio at CNY 688 per year across more than 300 million monthly active users, implied annualized revenue would be around CNY 12 billion. This remains a small contribution relative to the total revenue base of China's largest internet platforms, even if their AI apps replicate similar success.

DeepSeek V4 Is Here, but Don't Expect Another DeepSeek Moment Ivan Su, Senior Equity Analyst, 24 Apr 2026

DeepSeek released a preview of its V4 model, 15 months after introducing R1—widely known as the "DeepSeek Moment." DeepSeek claims V4's capabilities largely match US models. Why it matters: We view DeepSeek V4 as a competent follow-up, not the watershed that R1 was. R1 shocked markets because no one expected a Chinese open-source model to compete at the frontier. V4 is the next arc of the same story, and follow-ups don't spook markets the way surprises do. While V4 performs strongly in various benchmarks, we think fixating on these scores misses the bigger picture. Value in AI is created when capability is embedded into revenue engines, something DeepSeek lacks, but several of our covered firms have. V4's use of Huawei Ascend chips is consistent with our view that Chinese AI firms are gradually shifting to homegrown silicon. This should benefit China-listed GPU names and foundries like SMIC and Hua Hong over the long run. The bottom line: The V4 release doesn't change our views on listed Chinese tech names, but it reinforces two existing themes. (1) Chinese models continue to put up numbers that keep the pressure on US models, and (2) China's chip self-sufficiency is improving despite US export controls. Tencent remains our top pick in Chinese tech. It doesn't have the best AI model, but its integrated ecosystem generates vast amounts of proprietary behavioral data, which serves as a built-in testing ground that's already turning AI advancements into shareholder value. On our semiconductor coverage, the biggest difference between the market's view and our 1-star or 2-star ratings for SMIC and Hua Hong Semiconductor is whether this rise in domestic AI demand will be profitable in two or three years, amid elevated capex and low yields. Between the lines: DeepSeek's own benchmark table includes other Chinese models—Kimi K2.6 and GLM-5.1—alongside Opus, Gemini, and ChatGPT. That framing didn't exist with R1, and shows how much domestic competition has intensified.

Tencent: Cloud Price Hikes and Accelerating Buybacks Signal Deep Undervaluation Ivan Su, Senior

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Equity Analyst, 10 Apr 2026

Tencent Cloud is raising prices on select artificial intelligence-compute-related products by 5%, effective May 9, 2026, following similar increases by Alibaba and Baidu in recent weeks. Why it matters: Although this modest list-price hike is immaterial to near-term revenue, the signal matters more. Three of China's largest cloud vendors have now raised AI compute prices, ending a multiyear race to the bottom and marking a collective improvement in pricing power. The move also reduces risk around Tencent's AI investment story. Even if large language models or consumer AI apps fall short of bullish monetization expectations, Tencent can still lease AI chips profitably, providing a floor to returns on all the computing power it is building. We estimate Tencent's cloud business posted a 10% operating margin in 2025, versus 32% at the group level. Given cloud's high fixed-cost structure, incremental margins are higher, meaning a modest price hike can disproportionately support group profitability relative to revenue. The bottom line: We maintain our forecasts and HKD 800 fair value estimate for wide-moat Tencent. We view the recent share price weakness as market-driven rather than reflecting any deterioration in fundamentals. 2026 remains an investment year, with management planning to double AI spending. We think consensus estimates have largely reflected the near-term cost burden while undervaluing the longer-term return potential. Between the lines: Tencent's daily share buybacks reached HKD 1 billion on both April 8 and 9, the fastest pace since January 2025. This stands out against management's guidance for lighter buybacks in 2026 and appears to represent a vote of confidence in Tencent's AI progress. Coming up: Tencent will unveil its HY 3.0 model later this month, which management has described as a meaningful upgrade from HY 2.0. If HY 3.0 emerges as a leading model in China, Tencent's share price could react positively.

China Approved 467 Games in the First Quarter of 2026, Signaling Continued Support for the Industry Ivan Su, Senior Equity Analyst, 27 Mar 2026

China's National Press and Publication Administration issued 467 game licenses in the first quarter of 2026, up 22% year over year, setting the stage for another strong year of gaming approvals. Why it matters: With approvals now running at a seven-year high, the gaming industry is no longer supply-constrained. At this point, the raw number of licenses matters less for revenue forecasting and more as a read on Beijing's regulatory stance, which remains highly supportive. A big win is Tencent landing approval for Rainbow Six Siege. With a 26% stake in the franchise's Ubisoft studio, this is more than a distribution deal. We expect strong performance from the title as Tencent adds deep localization and builds a vibrant esports scene to drive player engagement. Also worth flagging are NetEase picking up a PC license for Eggy Party, extending an already hit mobile title with a passionate young fanbase to a new platform, and Tencent's life-simulation title Animula Nook, which could strengthen the firm's standing in the casual gaming space. The bottom line: We maintain our fair value estimates for the Chinese gaming companies under our coverage—wide-moat Tencent, narrow-moat NetEase, and no-

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moat Bilibili—and continue to view all three as undervalued. Tencent remains our top pick in the sector. Tencent is growing at a healthy double-digit rate, with artificial intelligence providing an additional tailwind. Its midteens P/E is cheap for a business that is an essential fabric of China's social and digital life. Between the lines: Approval timelines have reportedly shortened from four to six months to three to four months, aided by AI-assisted prescreening. A shorter gap between development and launch keeps games more culturally relevant and drives higher player engagement.

Tencent Earnings: AI Spending Grabs Headlines, Core Businesses Continue Solid Growth

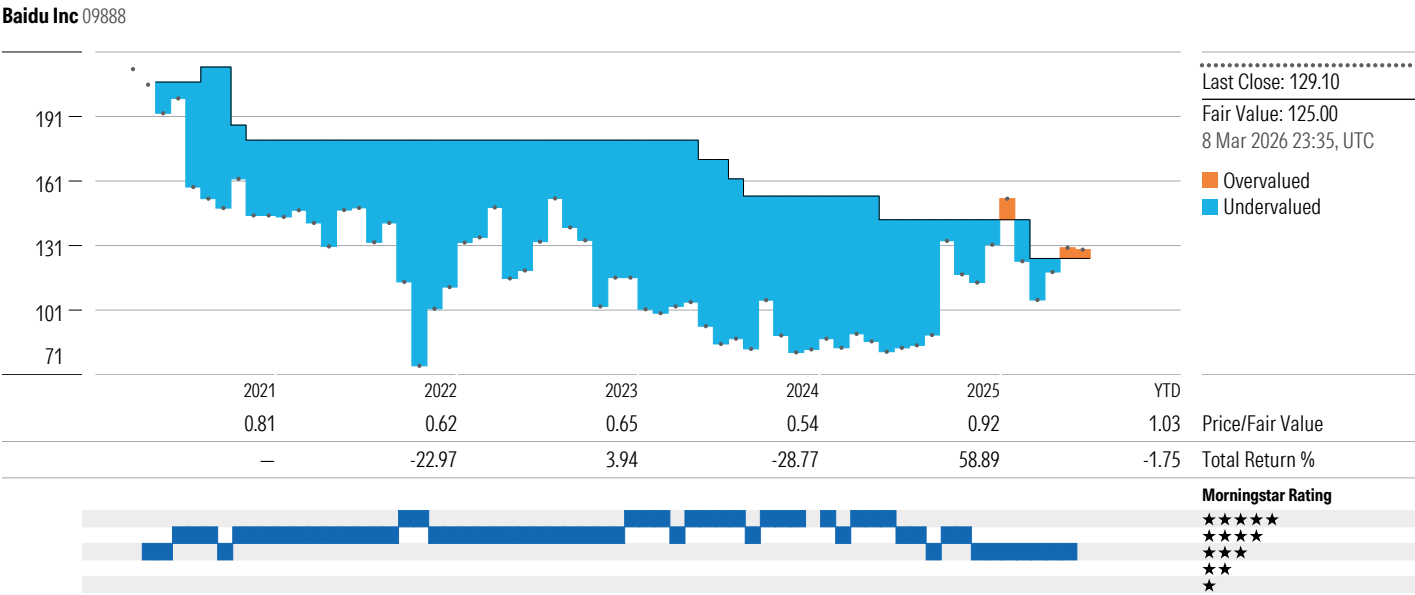
Ivan Su, Senior Equity Analyst, 19 Mar 2026

Tencent's fourth-quarter revenue grew 13% year on year, while recurring operating profit rose 17%. Looking into 2026, management still expects top- and bottom-line growth, albeit at slightly lower margins, as it redirects cash from share buybacks toward investment in artificial intelligence. Why it matters: Tencent's plan to double AI spending in 2026, funded by strong gaming and advertising cash flows, is strategically sound. While shares sold off on near-term margin pressure, the market seems to be pricing in the near-term cost without reflecting potential long-term returns. The AI spending planned for 2026 is more than 15% of 2025 operating profit and signals a sense of urgency. Management acknowledging that Tencent is not a first mover suggests the investment is driven by a narrowing competitive window rather than ambition alone. The more meaningful near-term payoff is likely to come from AI enhancing existing businesses—ad targeting, content recommendation, and game development efficiency—rather than from new products like Yuanbao. Management has already linked AI upgrades directly to the recent ad revenue acceleration. The bottom line: We keep our HKD 800 fair value estimate on wide-moat Tencent. Trading at 16 times earnings, Tencent is a compounder with some of the most defensible assets in China. Higher near-term AI spending is not a cost to fear but a reinvestment to maintain long-term compounding. While some peers may have more capable models, the bigger returns from AI are made when it is deployed within moaty businesses. Tencent's WeChat ecosystem and its proprietary data across payments, ads, and content provide a structural edge that most AI players lack. Key stats: Tencent's core businesses improved significantly in the quarter, but this was masked in reported results by CNY 7 billion of investment in its AI model and assistant app. Excluding this, adjusted operating profit growth would've been nearly 13 percentage points higher than reported. ■■■

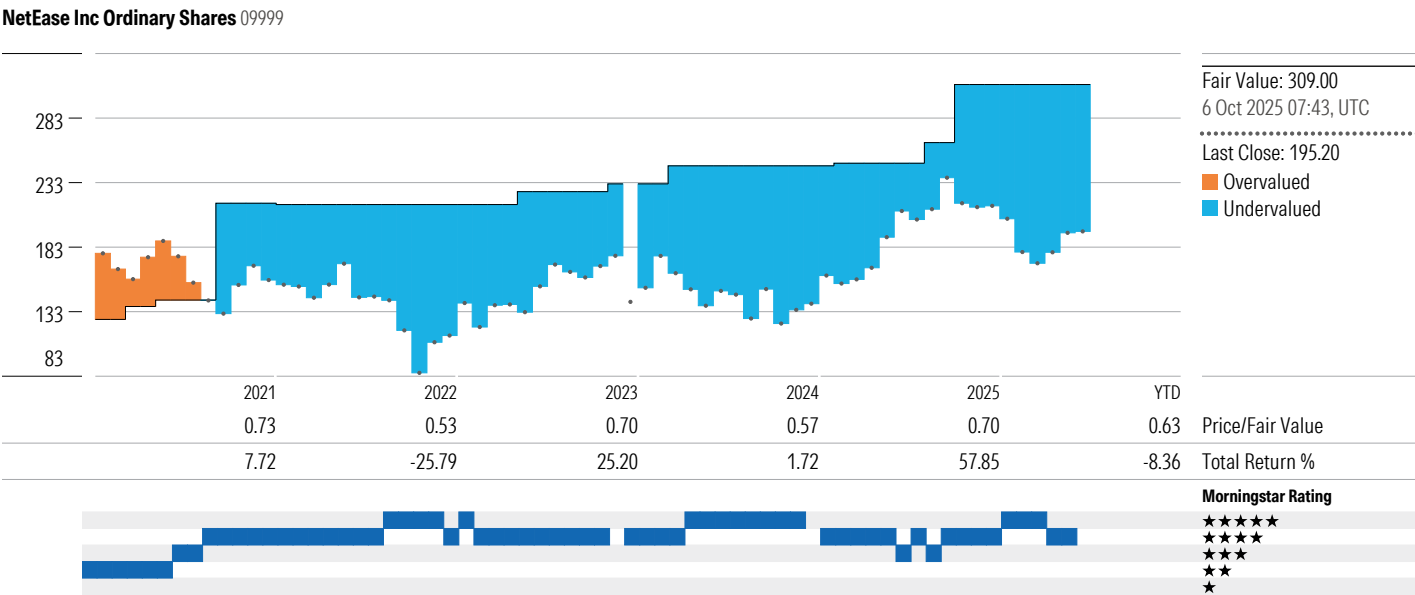
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1 Jun 2026 21:53, UTC

Competitors Price vs. Fair Value



Total Return % as of 01 Jun 2026. Last Close as of 01 Jun 2026. Fair Value as of 8 Mar 2026 23:35, UTC.

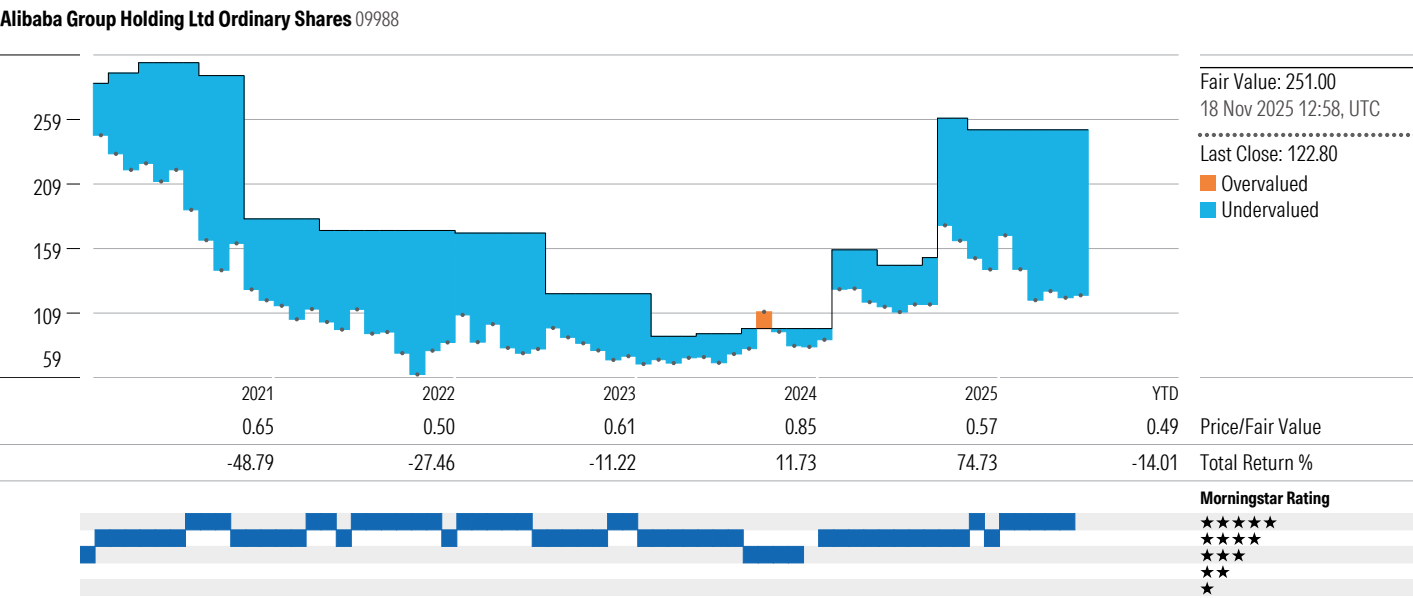


Total Return % as of 01 Jun 2026. Last Close as of 01 Jun 2026. Fair Value as of 6 Oct 2025 07:43, UTC.

Tencent Holdings Ltd 00700 ★★★★★

1 Jun 2026 21:53, UTC

Competitors Price vs. Fair Value



Total Return % as of 01 Jun 2026. Last Close as of 01 Jun 2026. Fair Value as of 18 Nov 2025 12:58, UTC.

Tencent Holdings Ltd 00700 ★★★★★

1 Jun 2026 21:53, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
436.00 HKD	800.00 HKD	0.55	4.35 HKD Tril	Wide	Large Blend	High	Exemplary
1 Jun 2026	14 Aug 2025 07:20, UTC		2 Jun 2026				

Morningstar Valuation Model Summary

Financials as of 14 May 2026

Fiscal Year, ends 31 Dec	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Revenue (CNY Mil)	609,015	660,257	752,940	825,326	913,500	986,876	1,054,366	1,121,731
Operating Income (CNY Mil)	155,373	200,097	244,739	268,469	304,726	339,209	374,555	402,759
EBITDA (CNY Mil)	218,792	293,675	341,498	383,878	429,371	472,098	514,246	547,862
Adjusted EBITDA (CNY Mil)	218,792	293,675	341,498	383,878	429,371	472,098	514,246	547,862
Net Income (CNY Mil)	114,230	192,730	223,270	243,612	256,144	283,001	311,374	334,497
Adjusted Net Income (CNY Mil)	157,688	222,703	259,626	287,957	304,906	334,715	365,820	391,679
Free Cash Flow To The Firm (CNY Mil)	158,048	153,179	147,932	169,470	192,395	217,452	260,523	289,820
Weighted Average Diluted Shares Outstanding (Mil)	9,610	9,408	9,244	9,093	8,949	8,812	8,680	8,555
Earnings Per Share (Diluted) (CNY)	11.89	20.49	24.15	26.79	28.62	32.12	35.87	39.10
Adjusted Earnings Per Share (Diluted) (CNY)	16.41	23.67	28.09	31.67	34.07	37.99	42.14	45.78
Dividends Per Share (CNY)	3.07	4.15	4.89	5.36	5.72	8.03	8.97	9.77

Margins & Returns as of 14 May 2026

	3 Year Avg	Actual			Forecast					5 Year Avg
		2023	2024	2025	2026	2027	2028	2029	2030	
Operating Margin %	32.9	25.5	30.3	32.5	32.5	33.4	34.4	35.5	35.9	37.0
EBITDA Margin %	—	35.9	44.5	45.4	46.5	47.0	47.8	48.8	48.8	—
Adjusted EBITDA Margin %	—	35.9	44.5	45.4	46.5	47.0	47.8	48.8	48.8	47.8
Net Margin %	25.9	18.8	29.2	29.7	29.5	28.0	28.7	29.5	29.8	29.1
Adjusted Net Margin %	31.4	25.9	33.7	34.5	34.9	33.4	33.9	34.7	34.9	34.4
Free Cash Flow To The Firm Margin %	22.9	26.0	23.2	19.7	20.5	21.1	22.0	24.7	25.8	22.8

Growth & Ratios as of 14 May 2026

	3 Year CAGR	Actual			Forecast					5 Year CAGR
		2023	2024	2025	2026	2027	2028	2029	2030	
Revenue Growth %	10.7	9.8	8.4	14.0	9.6	10.7	8.0	6.8	6.4	8.3
Operating Income Growth %	33.5	51.1	28.8	22.3	9.7	13.5	11.3	10.4	7.5	10.5
EBITDA Growth %	10.3	-19.6	34.2	16.3	12.4	11.9	10.0	8.9	6.5	9.9
Adjusted EBITDA Growth %	7.9	-19.6	34.2	16.3	12.4	11.9	10.0	8.9	6.5	9.9
Earnings Per Share Growth %	7.7	-38.5	72.3	17.9	10.9	6.8	12.2	11.7	9.0	10.1
Adjusted Earnings Per Share Growth %	7.7	37.6	44.3	18.7	12.8	7.6	11.5	11.0	8.6	10.1

Valuation as of 14 May 2026

	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Price/Earning	16.3	16.7	19.1	11.9	11.1	9.9	8.9	8.2
Price/Sales	4.1	5.5	6.5	4.1	3.7	3.4	3.2	3.0
Price/Book	3.2	3.8	4.3	2.7	2.4	2.2	2.0	1.8
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	11.4	12.2	14.2	8.7	7.8	7.1	6.5	6.1
EV/EBIT	16.1	18.0	19.8	12.4	11.0	9.8	8.9	8.3
Dividend Yield %	1.2	1.1	0.9	1.4	1.5	2.1	2.4	2.6
Dividend Payout %	18.7	17.5	17.4	16.9	16.8	21.1	21.3	21.3
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 14 May 2026

Fiscal Year, ends 31 Dec	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
ROA %	7.2	10.8	11.0	11.1	10.8	11.2	11.5	11.5
ROE %	13.1	18.3	18.0	17.8	17.1	17.3	17.4	17.1
ROIC %	35.0	33.9	34.3	32.7	34.2	35.6	37.4	39.0

Tencent Holdings Ltd 00700 ★★★★★

1 Jun 2026 21:53, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
436.00 HKD 1 Jun 2026	800.00 HKD 14 Aug 2025 07:20, UTC	0.55	4.35 HKD Tril 2 Jun 2026	Wide	Large Blend	High	Exemplary

Financial Leverage (Reporting Currency)

Fiscal Year, ends 31 Dec	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Debt/Capital %	4.6	6.9	10.1	5.3	5.0	4.7	4.4	4.1
Assets/Equity	1.8	1.7	1.6	1.6	1.6	1.5	1.5	1.5
Net Debt/EBITDA	0.2	0.2	0.2	-0.4	-0.6	-0.7	-0.9	-1.1
Total Debt/EBITDA	1.2	1.1	1.1	1.0	0.9	0.8	0.7	0.7
EBITDA/ Net Interest Expense	-142.1	-73.0	-192.0	-88.3	-146.0	-124.3	-88.9	-68.4

Forecast Revisions as of 13 May 2026

Prior data as of 19 Mar 2026	2026		2027		2028	
	Current	Prior	Current	Prior	Current	Prior
Fair Value Estimate Change (Trading Currency)	800.00	796.63	—	—	—	—
Revenue (CNY Mil)	825,326	829,591	913,500	914,865	986,876	990,057
Operating Income (CNY Mil)	268,469	269,630	304,726	308,377	339,209	342,824
EBITDA (CNY Mil)	383,878	407,376	429,371	449,575	472,098	487,653
Net Income (CNY Mil)	287,957	292,068	304,906	304,883	334,715	334,803
Earnings Per Share (Diluted) (CNY)	26.79	27.08	28.62	28.74	32.12	32.17
Adjusted Earnings Per Share (Diluted) (CNY)	31.67	31.95	34.07	33.82	37.99	37.64
Dividends Per Share (CNY)	5.36	8.18	5.72	10.12	8.03	12.94

Key Valuation Drivers as of 14 May 2026

Cost of Equity %	9.8
Pre-Tax Cost of Debt %	5.3
Weighted Average Cost of Capital %	8.6
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	4.0
Stage II Investment Rate %	9.0
Perpetuity Year	20

Additional estimates and scenarios available for download at <https://pitchbook.com/>.

Discounted Cash Flow Valuation as of 14 May 2026

	CNY Mil
Present Value Stage I	1,780,118
Present Value Stage II	1,541,314
Present Value Stage III	1,668,665
Total Firm Value	4,990,097
Cash and Equivalents	455,121
Debt	377,191
Other Adjustments	1,065,015
Equity Value	6,133,042
Projected Diluted Shares	9,093
Fair Value per Share (HKD)	800.00

Tencent Holdings Ltd 00700 ★★★★★ 1 Jun 2026 21:53, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
436.00 HKD 1 Jun 2026	800.00 HKD 14 Aug 2025 07:20, UTC	0.55	4.35 HKD Tril 2 Jun 2026	Wide	Large Blend	High	Exemplary

ESG Risk Rating Breakdown

Exposure

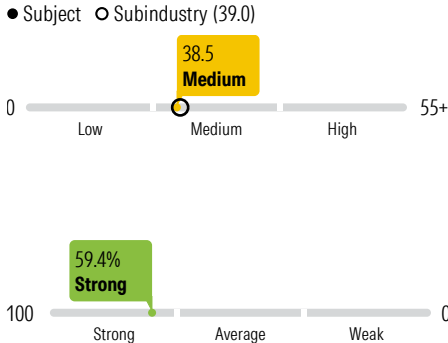
Company Exposure ¹	38.5
- Manageable Risk	35.7
Unmanageable Risk ²	2.7

Management

Manageable Risk	35.7
- Managed Risk ³	21.2
Management Gap ⁴	14.5

Overall Unmanaged Risk

17.2



- ▶ Exposure represents a company's vulnerability to ESG risks driven by their business model
- ▶ Exposure is assessed at the Subindustry level and then specified at the company level
- ▶ Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure
- ▶ Management measures a company's ability to manage ESG risks through its commitments and actions
- ▶ Management assesses a company's efficiency on ESG programs, practices, and policies
- ▶ Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Rating is of May 30, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Internet Software and Services. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 59.4% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 30 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure	Management	ESG Risk Rating
Tencent Holdings Ltd	38.5 Medium 0 —●— 55+	59.4 Strong 100 —●— 0	17.2 Low 0 —●— 40+
Baidu Inc	40.8 Medium 0 —●— 55+	60.1 Strong 100 —●— 0	18.1 Low 0 —●— 40+
NetEase Inc	24.5 Low 0 —●— 55+	45.7 Average 100 —●— 0	13.9 Low 0 —●— 40+
Alibaba Group Holding Ltd	38.1 Medium 0 —●— 55+	65.0 Strong 100 —●— 0	15.2 Low 0 —●— 40+
Meta Platforms Inc	44.3 Medium 0 —●— 55+	49.2 Average 100 —●— 0	24.3 Medium 0 —●— 40+

Appendix

Historical Morningstar Rating

Tencent Holdings Ltd 00700 1 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	—
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★

Baidu Inc 09888 1 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★★	—
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★★	★★★★★	★★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★★	★★★★★	★★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★	—	—	—	—

NetEase Inc Ordinary Shares 09999 1 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	—
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
—	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★	★★	★★	★★	★★	★★

Alibaba Group Holding Ltd Ordinary Shares 09988 1 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	—
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★

Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, in-depth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss short-term market-price movements), but we believe these negatives are mitigated by deep analysis and our long-term approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our single-point star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a

long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in working capital accounts, and capital spending. Based on these projections, we calculate earnings before interest,

after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

Margin of Safety		
Qualitative Analysis	★★★★★ Rating	★ Rating
Uncertainty Ratings		
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

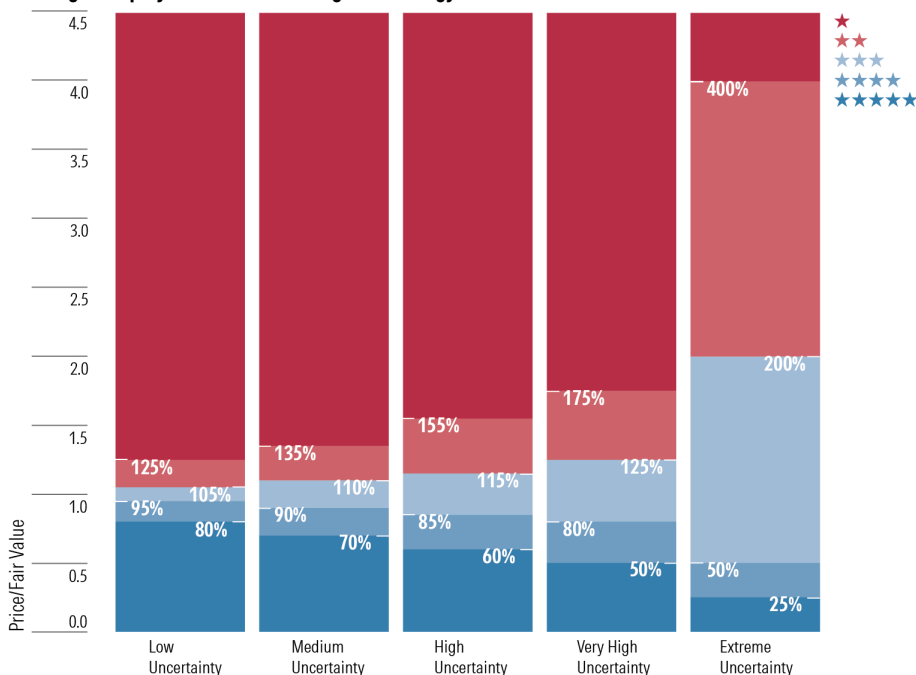
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to <https://shareholders.morningstar.com>

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk-adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multi-year time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

Research Methodology for Valuing Companies

and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score.

Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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